EXECUTIVE SUMMARY

A. Introduction

"Allacapan: Premier Center of Commerce and Agro-Industry in the Northwestern Cagayan with God-loving, Self-reliant, rich in Culture and globally competitive citizenry living harmoniously in a healthy, ecologically balanced and sustainable environment supported by well-developed service facilities under good governance."

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 590.

Allacapan is a third class municipality as per income class and is composed of 27 barangays with a total population of 32,858 in a 6,572 households (Actual data from the MHO based on BHW Census 2013). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

Allacapan, like any other local government units exercise its powers and operating the same as provided in RA 7160 otherwise known as the Local Government Code of the Philippines. It discharges functions necessary for efficient and effective provision of the basic services and facilities such as infrastructure facilities, solid waste disposal, social and health services, information services, support for education, police and fire services and facilities. It is also endeavors to be self-reliant and continues exercising the powers and discharging the duties and functions and responsibilities of national agencies as developed.

During the year, the Local Government Unit concentrated in the concreting/rehabilitation roads.

B. Highlights of Financial Information

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2016 and 2015:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2016	2015	Increase (Decrease)
Assets	148,952,276.68	102,871,448.89	46,080,827.79
Liabilities	29,226,317.93	18,775,321.82	10,450,996.11
Government Equity	148,952,276.68	84,096,127.07	64,856,149.61
b. Income and Expenses			
Income	119,073,702.92	104,467,105.52	14,606,597.40
Expenses	88,062,343.24	78,146,505.47	9,915,837.77

c. Appropriations/Obligation

Appropriations	85,926,511.00	88,919,992.35	(2,993,481.35)
Obligations	73,744,866.09	71,328,783.71	2,416,082.38

d. Summary of Suspensions, Disallowances and Charges as of Year End

	2016	2015	Increase (Decrease)
Suspensions	-	--	-
Disallowances	2,874,322.91	2,473,978.00	400,344.91
Charges	-	-	
Total	2,874,322.91	2,473,978.00	400,344.91

The Municipality's assets and equity increased by P46,080,827.79 and 64,856,149.61 respectively and the Municipality's liabilities increased by ₱10,450,996.11.

Total income amounted to P119,073,702.92 for the year which is 14,606,597.40 higher than last year's total income amounted to 104,467,105.52. A total amount of 85,926,511.00 was appropriated during the year of which 73,744,866.09 was obligated.

C. Scope of Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Allacapan for the year ended December 31, 2016. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

D. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at ₱57,413,147.10 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

E. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The most significant findings and recommendations are as follows:

1. The Municipal Treasurer incurred a total shortage of P1,391,188.71 in her cash accountability as of July 21, 2016 in violation of Section 69 of Presidential Decree (PD) 1445, Section 470 of Republic Act 7160 otherwise

known as the Local Government Code of 1991 and Book One Chapter 4 Section 23 of the Local Treasury Operations Manual of the Bureau of Local Government Finance.

We recommended that the Municipal Mayor direct the accountable officer to restitute immediately the missing funds and to relieve immediately the Municipal Treasurer from her duties and responsibilities as a measure necessary to safeguard adequately the cash and records of the Municipality without prejudice to the filing of criminal and administrative cases to effect the recovery of the amount of shortage noted in audit.

Likewise, withhold the payment of salary and other emoluments due to the Municipal Treasurer pursuant to Section 37 of P.D. 1445.

2. Advances granted for travels and other specific purpose totalling to P1,392,873.18 remained unliquidated as of December 31, 2016 contrary to Section 89 of P.D. 1445 and COA Circular No. 97-002 dated February 10, 1997.
   We recommended that the Accounting Department follow strictly the provisions Section 89 of P.D. 1445 and COA Circular No. 97-002 dated February 10, 1997. Require the Accountable Officers to settle immediately their cash advances to avoid withholding of salaries to effect payment.

3. The cash advances disbursement vouchers for Confidential and/or intelligence fund totaling to P150,000.00 were not submitted by the Agency Accountant or authorized representative in a sealed envelope, to the concerned COA Audit Team Leader (ATL) for post audit within seven (7) days after release of check contrary to the provisions of Commission on Audit (COA), Department of Budget and Management (DBM), Department of Interior and Local Government (DILG), Governance Commission for GOCCs (GCG) and Department of National Defense (DND) Joint Circular No.2015-01 dated January 8, 2015.

   We recommended that Management strictly follow the guidelines on the entitlement, release, use, reporting and audit of Confidential Fund (CF) and/or Intelligence Fund (IF) prescribed in COA-DBM-DILG-GCG-DND Joint Circular No. 2015-01 dated January 8, 2015

4. Real Property Tax Receivables/Special Education Tax Receivables was not established at the beginning of the year due to the failure of the Municipal Treasurer to submit a certified list showing the name of taxpayers and the amount due and collectible in violation of Section 20 of COA Circular 2002-003 dated June 20, 2002.

We recommended that the Municipal Treasurer submit to the Municipal Accountant duly certified list showing the name of taxpayers and the amount due and collectible as basis of the Municipal Accountant to draw a Journal Entry Voucher (JEV) to record the debit to Real Property Tax Receivables/Special Education Tax Receivables and crediting Deferred Real Property Tax Income/Special Education Tax Income at the beginning of the year as provided in Section 20 of COA Circular 2002-003 dated June 20, 2002 which is the Manual on the New Government Accounting System.

5. The physical existence and condition of the Property, Plant and Equipment, as well as correctness and validity of the account valued to ₱57,413,147.10 (net of depreciation) as of December 31, 2016 could not be ascertained due to the failure of management to conduct physical inventory and the lack of property documents/records, contrary to Section 119,120 and 124 of the New Government Accounting System (NGAS) Manual.

   We reiterated our previous year's audit recommendations that the Local Chief executive create an Inventory Committee to conduct the required physical inventory of all properties and to prepare and submit to the auditor concerned the required Report of the Physical Count on Property, Plant and Equipment (RPCPPE) not later than January 31 of each year.

   Likewise, instruct the Municipal Accountant and the Municipal Treasurer to maintain Property Ledger Cards and to reconcile the RPCPPE with the accounting records.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty-two (22) audit recommendations contained in the Annual Audit Report for Calendar Year 2015, ten (10) were fully implemented, eight (8) was not implemented and four (4) were partially implemented.